

Cipla Ltd

CIPLA

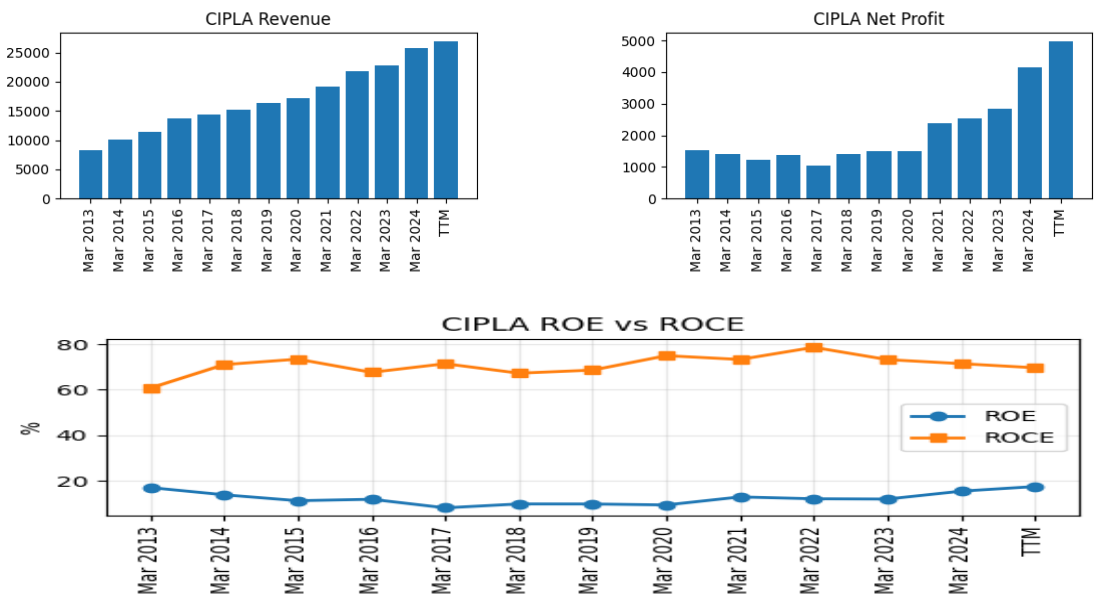
Key Financial Metrics

ROE 17.58%	ROCE 69.65%	Debt / Equity 0.02
Revenue CAGR 10.88%	FCF Conversion 99.52%	Quality Score 47.81

Company Profile

Company	Cipla Ltd
Sector	Healthcare
Industry	Pharmaceuticals
Market Cap (■ Cr)	439,803.15
P/E Ratio	59.75
P/B Ratio	5.93
Dividend Yield	0.12%

Financial Performance



AI Investment Summary

Cipla Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, strong capital efficiency, steady revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 47.8/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Strong free cash flow generation over 5 years signals healthy business fundamentals.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.

Investment Recommendation

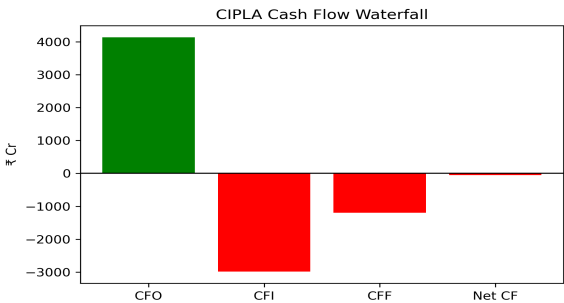
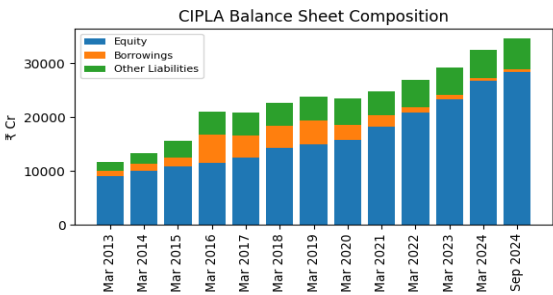
Recommendation	REDUCE
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 47.8/100, supported by 4 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 47.8

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
Growth	Strong

Cash Flow	Moderate
Leverage	Strong
Valuation	Expensive

Capital Allocation

Shareholder Returns